NOTE 7 INCOME TAXES

Effective January 1, 1997 the Company adopted Statement of Financial Accounting Standards No. 109, Accounting for Income Taxes.

The differences between the statutory Federal Income Tax and Income Taxes is accounted for as follows:

	2004	
	AMOUNT	PERCENT
Statutory Federal Income Tax	$ 27,804	15.0%
State Income Tax	11,916	7.6
Income Taxes	$ 39,720	22.6%
Income Taxes consist of:		
Current	$ -	
Deferred	39,720	
TOTAL	$ 39,720	

(Note X) The State of New Jersey has suspended the use of carryforward losses for the years 2002 and 2003. As such, state income taxes of $45,091 have been shown as a deferred asset and as income taxes payable. New Jersey carryforward is treated separately by the Company. Able Oil Company has a New Jersey Operating Loss of $501,010 which can not be utilized in the year ended June 30, 2003, the State Income Tax on income in excess of the NOL $45,258 is shown as state income tax. Under current New Jersey law, the carryforward will be available after 2003, the Company's fiscal year ending June 30, 2005.

NOTE 7 INCOME TAXES (CONT'D)

The types of temporary differences between the tax bases of assets and liabilities and their financial reporting amounts that give rise to a significant portion of the deferred tax liability and deferred tax asset and their approximate tax effects are as follows at:

	AMOUNT	PERCENT	AMOUNT	PERCENT
Statutory Federal Income Tax	$ 204,432	34.0%	$ (5,608)	(15.0%)
Federal Income Tax Reduction due to Carryforward loss	(199,165)			
State Income Tax	45,258	5.9	(2,429)	(7.6%)
State Income Tax (Note X)	45,091			
State Income Tax Reduction due to Carryforward loss	(42,834)			
Income Taxes	$ 52,782	39.9%	$ (8,037)	(22.6%)
Income Taxes consist of:				
Current	$ 45,258		$ -	
Deferred	7,524		(8,037)	
TOTAL	$ 52,782		$ (8,037)	

	JUNE 30, 2004	
	TEMPORARY DIFFERENCE	TAX EFFECT
Depreciation and Amortization	$ (339,045)	$(91,176)

Allowance for Doubtful Accounts	192,222	50,888
Gain on Sale of Subsidiary	18,766	4,035
New Jersey Net Operating Loss Carryforward (See Note X, Prior Page)	501,010	45,091

	JUNE 30, 2003	
	TEMPORARY DIFFERENCE	TAX EFFECT
Depreciation and Amortization	$ (241,993)	
Allowance for Doubtful Accounts	279,913	$(70,310)
Gain on Sale of Subsidiary	18,766	69,742
New Jersey Net Operating Loss Carryforward (See Note X, Prior Page)	501,010	4,035
		45,091

NOTE 7 INCOME TAXES (CONT'D)

Able Energy, Inc., et al, open years are December 31, 2000 and June 30, 2001 and 2002 and 2003. The Company has a Federal net operating loss carryforward of approximately $2,302,315. The net operating loss expires between June 30, 2019 and 2021. Able Energy, Inc. and Price Energy.Com, Inc. has a New Jersey Net Operating Loss Carryforward of approximately $489,374 and $2,217,251, respectively, which can be utilized in the year ending June 30, 2005.

These carryforward losses are available to offset future taxable income, if any. The Company's utilization of this carryforward against future taxable income is subject to the Company having profitable operations or sale of Company assets which create taxable income. For the year ended June 30, 2004, $-0- of net income has been utilized against the net operating loss carry forward. At this time, the Company believes that a full valuation allowance should be provided. The component of the deferred tax asset as of June 30, 2004 are as follows:

Net Operating Loss Carryforward - Tax Effect	$ -0-
Valuation Allowance	-
Net Deferred Tax based upon Net Operating Loss Carryforward	$ -0-